

Multiple Choice

1. **Answer:** A

Options: A) both demand and supply are perfectly elastic; B) the demand is elastic and the supply is inelastic; C) the demand is elastic and the supply is elastic; D) the demand is perfectly elastic and the supply is inelastic; E) the demand is unitary elastic and the supply is elastic

Note: Correct option: A - both demand and supply are perfectly elastic

2. **Answer:** A

Options: A) Short run: increase in output, Long run: increase in general price level; B) Short run: decrease in output, Long run: no change in general price level; C) Short run: decrease in output, Long run: increase in general price level; D) Short run: increase in general price level, Long run: decrease in output; E) Short run: no change in output, Long run: increase in general price level

Note: Correct option: A - Short run: increase in output, Long run: increase in general price level

3. **Answer:** D

Options: A) No, it is a principle that applies only to consumer choice in the market.; B) No, it is only applicable to the exchange of services, not goods.; C) Yes, it specifically applies to trade agreements between neighboring countries.; D) No, it applies wherever productive units have different relative efficiencies.; E) Yes, it only applies to international trade.

Note: Correct option: D - No, it applies wherever productive units have different relative efficiencies.

4. **Answer:** A

Options: A) 6; B) 9; C) 16; D) 12; E) 4

Note: Correct option: A - 6

5. **Answer:** A

Options: A) The trade deficit account; B) The goods and services account; C) The official reserves account; D) The surplus account; E) The fiscal deficit account

Note: Correct option: A - The trade deficit account

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'The acceleration principle can exaggerate and intensify fluctuations in the economy.'

7. **Answer:** False
Options: A) True; B) False
Note: Actual answer is 'A pure time series model'.
8. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'The amount of personal income which remains after taxes have been paid'.
9. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'of the principle of comparative advantage'.
10. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** Self-interest always leads to efficiency in business. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** No, every increase in national income does not necessarily result in an increase of employment.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key